

1. Give it away to a qualified charity.
2. Buy enough insurance to cover what will be owed.
3. Create and fund trusts and other vehicles that will transfer your assets to your beneficiaries exempt from estate tax.

There are many more variations, but those three are the major ones. Again, you need to engage an expert to manage these for you.

Lots of famous people die intestate (without a will). Prince died in 2016, leaving his heirs a \$300 million estate, six years of legal battles, and a giant tax bill. Pablo Picasso also died intestate (1973), also resulting in years of legal battles and \$30 million in legal fees! Howard Hughes, one of the world's wealthiest and most influential people, died in 1976 without a valid will. That led to the most complex and lengthy estate litigation in American history. It took 34 years to resolve, and the legal costs depleted much of the estate's value.

When it comes to estate taxes and having a valid will, a little planning goes a long way. The only excuse for ever paying estate taxes is if you were hit by a bus on the way to see your estate attorney...



Are you lucky enough to be sitting on a giant pile of appreciated assets? The good news is you can legally reduce your capital gains taxes by a substantial amount. In the next chapter, I discuss how.

[417](#) Don't laugh, but this is only true 50% of the time! People need constant reminders to stay on top of their taxes, especially 1099 filers who must make regular payments on their own. (W2 employees have taxes taken out automatically.)

[418](#) The \$19,000 is an excludable gift; amounts gifted above that to a child's 529 plan require a gift tax filing, although no tax is generally due.

[419](#) Note that 16 states levy an estate or inheritance tax, and exemption limits in states like Oregon can be as low as \$1 million. Check with a local professional for details on your state.